to be a buyer in September after emerging market stocks had fallen sharply. As a result, when the market went back up, my portfolio rebounded with an insane beta. That is why I was able to finish 1998 slightly up, even though the index was down 30 percent.

Presumably, if you were right on your extreme bearish call on Russia, other emerging market stocks would go down as well. Why then wouldn't you have been in low-beta rather than high-beta stocks before the break?

Buying low-beta stocks is a common mistake investors make. Why would you ever want to own boring stocks? If the market goes down 40 percent for macro reasons, they'll go down 20 percent. Wouldn't you just rather own cash? And if the market goes up 50 percent, the boring stocks will go up only 10 percent. You have negatively asymmetric returns. It is what I call a pigeon-and-elephant trade—you eat like a pigeon and shit like an elephant. If you have a portfolio of boring stocks and want to make it produce equity-like returns, you have to leverage it up. If the portfolio then goes wrong, the loss is going to be massively asymmetric because of the leverage. I also think emerging market bonds are inherently unattractive. If all goes well, you get your coupon payment, but if the country defaults, you could lose all your money. So why would you ever bother?

Do you always have high-beta stocks?

Absolutely—high-beta stocks balanced by cash or shorts. That has been true ever since I was a long-only manager. Boring companies never have the opportunity for earnings growth. And I like earnings growth, even though I don't like paying up for it.

It seems like emerging market stock prices would be dominated by macro forces. How important is the individual stock selection?

There are so many things in macro that are inherently unpredictable. If you get 50 macro experts in a room, you will get 55 opinions. You can get much more knowledge and predictability about a company. We talk or meet with every company we own every few months. Over a period of years, you can build up a relatively good understanding of what the company does and their ability to execute new business plans. Therefore,